Before the
New York State Public Service Commission

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-G-0073

May 2025

Prepared Direct Testimony of:

John P. Sano

On Behalf of:

The City of New York

INTRODUCTION AND QUALIFICATIONS

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. My name is John P. Sano. I am self-employed as a private consultant with experience in utility regulation issues. My business address is 11 Glenmore Drive, Schenectady, New York 12309-1945.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. I am testifying on behalf of the City of New York, or City.

Q. PLEASE SUMMARIZE YOUR EDUCATION EXPERIENCE AND ANY HONORS YOU HAVE RECEIVED.

A. I completed my Bachelor of Science degree in Chemical Engineering at Clarkson University in 1974. In 1974, I was inducted into Phalanx, the Clarkson Honorary Society, for outstanding achievements as an undergraduate. I completed my Masters in Business Administration at the State University of New York at Albany in 1983.

Q. PLEASE SUMMARIZE YOUR PROFESSIONAL EXPERIENCE AND ANY HONORS YOU HAVE RECEIVED.

A. After my graduation from Clarkson, I held several engineering and management positions with the Union Carbide Corporation at its Bound Brook, New Jersey Phenolic Plastics Division from 1974 through 1976 and with the General Electric Corporation at its Silicone Products Division in Waterford, New York from 1976

through 1990. My responsibilities at various times included new process development, process engineering, production engineering, production management, customer technical support, project management and maintenance management. During my tenure at General Electric, I was a Bronze Medallion Award recipient. This award acknowledges individual contribution as an author of General Electric patents and trade secrets. In 1990 I joined the New York State Department of Public Service, or DPS. During my thirty-one years at DPS, I held various engineering and supervisory positions in the former Gas Division, the former Energy & Water Division and finally in the Office of Electric, Gas and Water. The majority of my responsibilities as a technical advisor and later as a utility supervisor included analysis of natural gas utility policy matters, including distribution system design and planning, capacity asset management, gas purchasing practices, and gas system reliability, as well as analysis of issues related to the restructuring of the natural gas industry and use of natural gas in New York. During my last three years with DPS, I supervised the Albany Office's Gas Safety Staff of engineers on all gas safety matters. I retired from state service on May 28, 2021.

Q. HAVE YOU PREVIOUSLY TESTIFIED BEFORE THE PUBLIC SERVICE COMMISSION, OR COMMISSION?

A. I have testified in various proceedings before this Commission. These proceedings include, but are not limited to, Cases 14-G-0319 and 17-G-0460 with Central

Hudson Gas and Electric Corporation; Cases 04-G-1047, 07-G-0141, 13-G-0136, and 16-G-0257 with National Fuel Gas Distribution; Cases 06-G-1185, 16-G-0059 and 23-G-0225 with The Brooklyn Union Gas Company d/b/a KeySpan Energy Delivery New York, or KEDNY; Cases 06-G-1186, 16-G-0058 and 23-G-0226 with KeySpan Energy Delivery Long Island; Case 08-G-1392 with St. Lawrence Natural Gas; Cases 02-G-0003 and 05-G-1359 with Corning Natural Gas; Case 90-G-1001 with Consolidated Edison Company of New York, Inc., or Con Edison or the Company; and Case 90-G-0649 with Rochester Gas and Electric Corporation, or RG&E. In addition, although I did not submit testimony, I served as a lead staff negotiator for settlement of gas technical issues in Cases 14-G-0319 and 17-G-0460 for Central Hudson Gas and Electric Corporation and as the lead gas case settlement negotiator on Cases 19-G-0379 and 19-G-0381 for New York State Electric and Gas Corporation, or NYSEG, and RG&E.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. My testimony will address issues associated with the Con Edison Gas Infrastructure and Operations Panel, or GIOP, pre-filed direct testimony and associated exhibits, supplements, and updates. I also comment on the Company's Depreciation Panel's pre-filed direct testimony and its associated exhibits, supplements, and updates. My testimony focuses on the following issues and recommendations:

I recommend overall reductions in the Company's proposed capital spending of approximately 14.4 percent in Rate Year 1, 11.0 percent in Rate Year

2, and 8.4 percent in Rate Year 3. These reductions are driven by blanket reductions on most capital program budgets to align proposed spending with recent historic average spending plus a reasonable inflation adjustment.

I recommend a requirement that the Company identify what non-pipe alternatives, or NPAs, can be implemented throughout its service territory as alternatives to the replacement of leak-prone gas mains and/or to strategically reduce the length of gas mains, in part by learning from other utilities that have been successful.

I recommend the elimination of all proposed capital spending in the Customer Connections category in furtherance of the requirements under New York's Climate Leadership & Community Protection Act, or CLCPA, and related City laws. Specifically, the Company's testimony does not sufficiently integrate expected market changes that will result from the implementation of New York City's Local Law 154 of 2021, or LL 154, which set combustion emissions limits in new construction buildings that result in electrification beginning in 2024, nor is the proposal to continue to fund connections consistent with LL 154. The Company's testimony also does not sufficiently integrate expected changes that will result from the implementation of New York City's Local Law 97 of 2019, or LL 97, which, among other things, disincentivizes large buildings from transitioning to natural gas.

I recommend that the Commission reject the Company's proposed

modifications to gas depreciation rates. In addition, any reserve deficiency should be recovered based on an equal annual amount that reflects the reserve deficiency for gas identified in excess of a ten percent tolerance band amortized over twenty years.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. I offer Exhibit __(NYCJS-1), which is a compilation of the discovery responses from Con Edison that I relied upon in preparing this testimony, Exhibit __(NYCJS-2), is a press release from the Federal Reserve Bank of New York, Exhibit __(NYCJS-3), which is a summary of my adjustments to the capital expenditures for the Company, and Exhibit __(NYCJS-4), which is a summary of my proposed incentive mechanisms and safety metrics.

OVERALL CAPITAL PROGRAM

Q. WHAT ARE YOUR PRIMARY CONCERNS WITH THE COMPANY'S CAPITAL INFRASTRUCTURE REQUEST AND GAS SAFETY PROGRAMS.

A. First, given the policy and statutory directives impacting the future use of fossil fuels, the Company's continuation of its main replacement program, which it now calls a "Gas Infrastructure Replacement or Reduction Program," in a business-as-usual manner no longer is appropriate. Instead, the Company should include both short- and long-term plans for considering a reduction to its gas footprint and the need to abandon and decommission a portion of the gas system instead of replacing

it with new infrastructure. The Company's distribution main replacement programs for leak-prone pipe, or LPP, are proposed to continue at a pace similar to prior rate cases.

Second, the purpose of the Company's programs to align and comply with Commission and State policy goals, including the goals of the CLCPA, is discussed several times in the GIOP pre-filed direct testimony (GIOP Pre-Filed Direct Testimony at 17-18, 37 and 40). However, the actual benefits of such programs and investments, such as implementation of NPAs, are not obvious. In its "Non-Pipes Alternatives Deployment Plan," filed with the Commission on January 21, 2025 in Case 23-G-0147, Con Edison indicates that the most important factor in deciding which NPA to pursue is the affordability and cost-effectiveness to achieve a set level of results. Each separate section of this plan includes a "Feasibility and Cost-Effectiveness Analysis."

New York City is on the front lines of the affordability crisis, which may be exacerbated by future changes in the economy, and is seeing several factors increase energy costs for New York City residents, particularly members of disadvantaged communities and low- and moderate-income customers. Concerns about affordability have been raised by several stakeholders in addition to the City, most notably Governor Hochul who stated in a February 11, 2025 letter to Commission Chair and DPS CEO Rory Christian that "affordability is our greatest short-term challenge." To meaningfully address the affordability concern, the Company's

proposed rate increases and associated investments in the gas business must be carefully scrutinized and benefits to customers clearly articulated. In many instances, the Company speaks vaguely that the proposed projects are in furtherance of the goals of the CLCPA, but the Company has not clearly articulated the benefits of its proposals to customers.

Q. DO YOU HAVE CONCERNS WITH THIS ARTICULATION OF CUSTOMER BENEFITS?

A. Yes. The intent of the CLCPA is to transition away from the use of fossil fuels like natural gas. Therefore, an assertion that investments in the gas system are consistent with the goals of the CLCPA is not credible and should not be accepted by the Commission as valid justification for any gas project or an articulation of the customer benefits of any gas project. Additionally, in its Long Term Gas Plan's Reference Pathway, which is in Section V.a of the final plan, Con Edison projects an overall reduction of gas volume and decline in the number of gas customers by 2040. Given these projections, substantial investments in long-lived assets should be minimized, not maximized.

Q. TURNING BACK TO YOUR OVERALL CONCERNS WITH THE COMPANY'S PROPOSALS, PLEASE CONTINUE.

A. My third issue is that the Company's proposed increase to capital spending will directly impact growth in the value of the gas footprint. The GIOP pre-filed direct testimony discusses several NPA programs ear-marked to help alleviate capital

costs. However, the Company fails to provide concrete estimates of anticipated savings or propose usage of such anticipated savings to offset costs to customers. New York City Information Request 305 requested information regarding whether inflation was assumed and utilized in estimating the project costs included in the GIOP exhibits. In response, the Company states, "2026-2028 assumes general escalation, which addresses gradual increases in costs. We didn't address inflationary pressures." Consistent with the imperative to reduce costs to address affordability, as emphasized by Governor Hochul in a recent press release regarding a letter to the Commission Chair regarding the Company's rate request, these costs should be capped at the rate of inflation over the historic spending levels.

Lastly, the Company included gas safety issues in its GIOP testimony and proposes the elimination of several Negative Rate Adjustments, or NRAs, and increases to Positive Rate Adjustments, or PRAs, to reflect the cost of achieving certain safety goals (GIOP Pre-Filed Testimony at 53-56). Some of the modifications requested seek relief from NRAs related to the Company's own standards. The NRAs should remain as currently established, or possibly tightened. Safety metrics are performance incentives to motivate achievement of safety goals. PRAs are not intended to replace ordinary expenses incurred to achieve such safety goals. If additional expenses are required, the Company has ample ability in this rate case to request those funds. Moreover, the provision of safe gas service is a statutory requirement, and the Public Service Law prescribes penalties for

violations of the law. As a general matter, the Commission should reconsider whether any positive shareholder incentives are appropriate for Con Edison providing safe gas service.

Lastly, until the Commission orders a generic ruling on how to modify gas utility depreciation, any attempt to make changes should be resisted. Despite the Company's claims, what they propose is a form of accelerated depreciation, and Commission guidance is required before changes are made. The Company's proposal would expedite shareholders' recovery of their investments and significantly increase customers' rates.

Q. WHAT IS THE SCOPE OF YOUR RECOMMENDATIONS REGARDING THE COMPANY'S PROPOSED CAPITAL EXPENDITURES?

A. I will offer recommendations regarding the Company's proposed capital expenditures for fiscal year 2026, "Rate Year 1." The Company also presents planned capital expenditures for the two years following Rate Year 1, 2027 and 2028, which it refers to as Rate Years 2 and 3, as well as a forecast for 2029. I also make some recommendations concerning the Company's proposed capital expenditures in Rate Years 2 and 3.

Q. WHAT IS THE COMPANY'S PROPOSED LEVEL OF CAPITAL EXPENDITURES?

A. Con Edison proposes to spend $951.9 million in Rate Year 1, $924.0 million in Rate Year 2, $925.1 million in Rate Year 3, and forecasts $869.9 million in 2029

for gas infrastructure investment. The Rate Year 1 amount is 15 percent more than the Company's historic five-year average.

Q. DO YOU RECOMMEND ADJUSTMENTS TO THE COMPANY'S PROPOSED CAPITAL EXPENDITURES?

A. Yes. A summary of my adjustments to the capital expenditures can be found in Exhibit__(NYCJS- 2).

Q. BASED ON YOUR ADJUSTMENTS, WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES?

A. I adjusted historic spending by adding inflation to recommend $813.5 million in Rate Year 1, $820.0 million in Rate Year 2, and $850.3 million in Rate Year 3. These changes amount to a decrease of $138.4 million or 14.5 percent in Rate Year 1, a decrease of $104.0 million or 11.3 percent in Rate Year 2, and a decrease of $74.9 million or 8.1 percent in Rate Year 3.

Q. HOW DID THE COMPANY ESTIMATE BUDGETS FOR ITS CAPITAL EXPENDITURE PROJECTS?

A. In response to New York City Information Request 305, the Company states that general escalation to address gradual cost increases was used in developing the estimates for the projects.

Q. DO YOU AGREE WITH THE COMPANY'S ESTIMATION METHODOLOGY?

A. No. Without any facts other than historical expenditures, this appears to be "a trust

us, we know what is best" approach. The Company's response to DPS Information Request 115 demonstrates that the Company used an escalation due to the circumstances during the COVID pandemic and the following periods of high inflation. As I will discuss, this approach is inconsistent with current inflation rate expectations and produces unreasonably high escalation rates resulting in inflated projected expenses.

Q. HOW DID YOU DEVELOP YOUR RECOMMENDATIONS FOR CAPITAL EXPENDITURES?

A. My adjustments utilize the historic averages from the last five years, excluding Fiscal Year 2025 estimates, and I then applied inflation rates to each rate year. In some cases, I accepted the Company's estimate for specific projects when the estimate is less than historic spending. As I will discuss, this approach will ensure that projects not reflected in historical figures will not be ignored.

Q. WHAT IS THE BASIS FOR YOUR INFLATION FORECASTS?

A. The New York Federal Reserve Bank, as part of the U.S. Central Bank, conducts economic research on many topics. Its most recent "Short-Term Inflation Expectations" estimates are shown in Exhibit__(NYCJS-2). I applied these forecasts to the historical spending patterns for each category.

Q. ARE THERE ANY CIRCUMSTANCES THAT COULD IMPACT THESE ESTIMATES?

A. The current United States tariff policy on goods from other countries may have an

impact. However, at this time, it is not obvious how much of an impact such tariffs will have, the duration of any such impacts, or if these tariff levels will remain in place.

Q. HOW DO YOU RECOMMEND THE IMPACT OF POTENTIAL TARIFFS BE TREATED?

A. As of the end of May 2025, there are some tariffs in place, but whether and to what extent tariffs will continue to be imposed remains in flux. If, at the time the Commission approves a new revenue requirement for Con Edison's gas business, this matter remains in flux, the Commission should not include any adjustment for tariffs. Rather, the Commission should direct Con Edison to defer any cost increases that are directly related to the imposition of tariffs on imports. The Commission also should direct Con Edison to file documentation showing the increases in costs specifically due to tariffs and calculations of the amount of the increases.

Q. ARE THERE ANY OTHER ISSUES THAT COULD IMPACT THE COMPANY'S CAPITAL EXPENDITURES?

A, Yes. The Protecting Our Infrastructure of Pipelines and Enhancing Safety, or PIPES, Act of 2020 introduced as S. 2299 in the 116th Congress, and two associated pending rule making proceedings could potentially impact expenditures. The PIPES Act of 2020 authorizes and directs the Federal Department of Transportation to perform studies and adopt rules intended to enhance gas pipeline safety, and it

links environmental safety to pipeline and public safety. Final rules have yet to be enacted as required by the PIPES Act of 2020.

Q. HOW DOES THE COMPANY PROPOSE TO ADDRESS THE PIPES ACT OF 2020?

A. Because significant uncertainty exists as to whether the rulemakings will have an impact on the Company's operations or investments, and to what extent; the Company proposes to defer the costs associated with PIPES Act of 2020 compliance for recovery in its next rate filing.

Q. DO YOU AGREE WITH THIS APPROACH?

A. Yes. However, any deferral should only be for work over and above current projects that already address issues to be covered in the rulemakings.

GAS INFRASTRUCTURE CAPITAL INVESTMENT

Q. HOW DOES THE COMPANY ORGANIZE ITS GAS CAPITAL PROJECTS?

A. The Company groups gas capital projects into the following programs: Distribution System Improvement Programs; Transmission Programs and Projects; Natural Gas Detectors; Customer Connections; Technical Operations; and Gas Information Technology. I will discuss my adjustments to each of these capital program groups.

DISTRIBUTION SYSTEM IMPROVEMENT PROGRAMS

Q. WHAT IS INCLUDED IN THE DISTRIBUTION SYSTEM IMPROVEMENT PROGRAMS CATEGORY OF CAPITAL PROJECTS?

A. Distribution System Improvement programs include work related to Distribution Integrity, such as the Gas Infrastructure Replacement and Reduction Program, or GIRR, Service Replacement Program, Distribution Integrity Main Enhancement Program, or DIMP, and Large Diameter Gas Main Program, as well as System Reliability, such as the System Reinforcement Program for winter load relief, Regulator Station Revamp, Regulator Station Revamp, and Gas Reliability Improvement Program.

Q. WHAT IS THE COMPANY'S TOTAL PROJECTED CAPITAL INVESTMENT FOR DISTRIBUTION SYSTEM IMPROVEMENTS DURING THE THREE RATE YEARS?

A. The Company's total projected capital investment in Distribution System Improvement Programs is $609.5 million in Rate Year 1, $624.5 million in Rate Year 2, and $642.1 million in Rate Year 3.

Q. BASED ON YOUR ADJUSTMENTS, WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR DISTRIBUTION SYSTEM IMPROVEMENT?

A. The Company's proposed budgets for all three years are below historic spending plus inflation. I accept these amounts with the caveat that more should be done to reduce these costs. LPP projects, Gas Reliability programs, and the need to meet new federal requirements will continue, but minimizing this work and reducing the costs of these projects is the best way to prevent stranded costs to customers in later

years. Increasing depreciation costs by reducing service lives as the Company's Depreciation Panel suggests on page 46 of its pre-filed direct testimony, only increases costs to customers now by increasing revenues to shareholders.

Q. WHICH PROGRAMS INCLUDE LPP REPLACEMENT?

A. The entire Integrity Management section can involve LPP in some form. The Company's GIRR Program was formerly named the Main Replacement Program. It is designed to replace or eliminate leak-prone gas mains, including small diameter cast iron, wrought iron, and unprotected steel mains. Planned main replacement can be driven by multiple factors such as risk level, opportunity for methane emissions reduction, or potential for system planning improvement.

Q. IS REPLACEMENT OF LPP REASONABLE?

A. Yes. It is important to have a reasonable LPP replacement program, but such program should work in tandem with efforts to retire rather than replace gas mains. In March 2012, the U.S. Department of Transportation Pipeline and Hazardous Materials Safety Administration, or PHMSA, issued an advisory bulletin related to the continued use of cast-iron pipe and to alert gas distribution system owners and operators to potential issues with the integrity of cast-iron pipe. On April 17, 2015, the Commission issued an "Order Instituting Proceeding for a Recovery Mechanism To Accelerate The Replacement of Leak Prone Pipe" in Case 15-G-0151, which I will refer to as the Instituting Order. In the Instituting Order, the Commission stated that its goal is "to reduce the statewide average replacement

timeline to twenty years and is based on reasonable assumptions that gas Local Distribution Companies will ramp up their removal and replacement programs." In addition to discussing safety and gas main integrity, the Instituting Order noted the low cost of capital at that time as an opportunity to accelerate LPP replacement with lower customer bill impacts.

Q. WHAT ARE THE CURRENT GOALS AND PLANS FOR THE COMPANY'S LPP REPLACEMENT PROGRAMS?

A. The Company proposes to continue to replace or abandon 80 miles of gas mains in each of the three rate years (GIOP Pre-Filed Direct Testimony at 17). For each rate year, it will replace or abandon 75 miles of planned work and five miles of conjunctional work, such as municipal infrastructure work, that eliminates LPP. The Company states that these goals are in line with its strategy to eliminate or abandon LPP in its service territory by 2040.

Q. DO YOU AGREE WITH THE GOALS OF THE COMPANY'S LPP REPLACEMENT PROGRAMS?

A. In general, yes. However, the costs should be reduced, and the Company should more robustly utilize NPAs to minimize the Company's carbon footprint.

Q. HAS THE COMMISSION PROVIDED GUIDANCE ON NPAS?

A. Yes. In the "Order Adopting Gas System Planning Process" issued by the Commission on May 22, 2022 in Case 20-G-0131, which I will refer to as the "Gas Planning Order", local distribution companies, or LDCs, were encouraged to use

NPAs to potentially reduce or eliminate the need for gas infrastructure and investments. NPAs were to include temporary supply, energy efficiency, electrification, and clean demand response. The Gas Planning Order provided that LDCs should integrate NPAs into their standard gas system planning processes, both in the context of specific avoidable projects in a particular area of the distribution system, and system-wide to reduce overall demand and the need for infrastructure investment. On page 36 of the Gas Planning Order, the Commission states that, "use of NPAs instead of building new infrastructure is preferrable in light of CLCPA targets. … Potential NPAs should recognize the specific and often unique problems those solutions are intended to address." Con Edison needs to increase its efforts to implement NPAs.

Q. WHAT IS YOUR UNDERSTANDING OF THE COMPANY'S APPROACH TOWARD NPAS?

A. In its Order Regarding Long-Term Natural Gas Plan and Requiring Further Actions issued on September 20, 2024 in Case 23-G-0147, which I will refer to as the "GLTP Order", the Commission directed the Company to develop an NPA Deployment Plan that:

- improves NPA programmatic design to eliminate barriers to NPA adoption;
- leverages regional surveys and other stakeholders' reputations and tools, including community groups and local elected officials, to improve recruitment;

- identifies early investments, including leak-prone pipe segments that are suitable for NPA treatment, that are beyond the three-to-five-year horizon;
- maintains line-of-sight of the electric grid impacts of electrification;
- provides more specificity regarding alternatives; and
- provides detailed assumptions and expectations for NPA programs going forward.

This NPA Deployment Plan was filed on January 21, 2025 and builds upon the Company's November 2024 Implementation Plan. It provides additional detail about NPA programmatic and operational design in alignment with the GLTP Order. It concentrates on Main Replacement Programs, the Con Edison Electric Advantage and Energy Exchange Programs, Service Line Replacements, and Area Load Relief projects.

Q. WHAT HAS THE COMPANY ACCOMPLISHED WITH RESPECT TO NPAS?

A. To date, it is difficult to identify any real progress in any areas stated in the NPA Deployment Plan or the NPA Implementation Plan. Convincing some new customers to choose heat pumps instead of gas may be the only success at this point.

Q. ARE THERE NPAS THAT CAN BE IMPLEMENTED TO REDUCE BOTH THE COST OF THE DISTRIBUTION SYSTEM IMPROVEMENT PROGRAM AND THE GAS BUSINESS FOOTPRINT CONSISTENT WITH THE GOALS OF THE CLCPA?

A. Yes. In its NPA Implementation Plan dated November 18, 2024, the Company states it has identified a set of 290 sections of gas main suitable for NPA solutions instead of pipe replacement. However, in its January 2025 NPA Implementation Plan, of the 290 sections of gas main identified to date, only 108 were identified as cost-effective to move to the implementation stage. The Company identified geographic boundaries that encompass the areas surrounding planned distribution system reinforcement projects that require targeted load reductions via electrification, energy efficiency, or other customer-sided measures. As an example, all customers within the identified boundary west of the Bronx River Parkway are eligible for NPA incentives.

Beyond pipeline replacement NPAs, the Company should be directed to pursue NPAs such as targeted load reductions via electrification, energy efficiency, or other customer-sided measures throughout its service territory. Continued referrals of customers for electrification are essential to reducing LPP replacement costs and overall capital expenditures, especially those related to new customer connections and reinforcements to provide service to those connections.

Specific to the electrification referrals, the Company should be directed to identify ways to improve the scope and the success rate of these referrals, and implement a more robust and improved electrification referral program than the referral program included in the current rate plan. Electrification efforts must become and remain a high priority if New York City is to achieve an accelerated

transition from fossil fuels.

Q. PLEASE ADDRESS THE COMPANY'S SERVICE REPLACEMENT PROGRAM.

A. The Company's Service Replacement Program is designed to replace gas service lines that are actively leaking, associated with capital main replacement programs, or identified through the DIMP. This program addresses leak prone services, also known as vintage services, which are connected to non-leak-prone mains. As in the main replacement program, customers may be offered electrification to avoid the need for the service line replacement. With its current Implementation Plan, the Company has identified approximately 38,500 buildings connected to pre-1972 gas service lines. The Energy Exchange Program, which provides incentives for eligible customers to convert from natural gas to electric heat and appliances, can serve as an NPA for service replacements and should be aggressively pursued. By converting customers to electric heat and appliances, natural gas service requirements and costs can be reduced.

Q. DO YOU HAVE ANY CONCERNS WITH THE COMPANY'S LARGE DIAMETER GAS MAIN PROGRAM?

A. Not in general. However, use of the Cast Iron Sealing Robot, or CISBOT, and Cured-in-Place Liners should be the preferred approach instead of pipe replacement. The Large Diameter Gas Main Program is a multi-year program focusing on rehabilitating or replacing distribution supply gas mains with diameters

of 16 inches and larger. These mains are critical for supply of gas throughout the system, and disruption of service can have severe impacts on the distribution system. The program utilizes three methods of addressing identified mains: (1) CISBOT seals and reinforces cast iron joints internally, (2) Cured-in-Place Liners utilize cured-in-place liner technology to seal and extend the life of mains, and (3) replacement of existing gas mains. This program does not include the replacement of 12-inch leak prone or unprotected steel mains, as they would fall under the GIRR Program. This program mitigates the risk of a significant customer loss event by reducing the likelihood of water infiltration and gas service outages during a flood event or water main break.

Q. PLEASE DESCRIBE THE COMPANY'S GAS SYSTEM RELIABILITY PROGRAMS.

A. The Gas System Reliability Programs focus on reinforcing the gas system to ensure operation without service interruption. These programs include the System Reinforcement Program – winter load relief, Regulator Station Revamp, and Gas Reliability Improvement Program.

The System Reinforcement Program involves installing and replacing gas mains to reinforce the system in areas where pressures do not meet design criteria based on the prior winter's performance. The Regulator Station Revamp Program is a multi-year initiative to retrofit existing regulator stations by installing new vaults, piping, regulator hardware, and communication systems to ensure reliable

gas service, enhance system flexibility and safety. The Gas Reliability Improvement Program focuses on reinforcing the gas system by installing and replacing critical gas mains in vulnerable areas to prevent large-scale outages and ensure continuous and safe service. Except for the regulator program, both of the remaining reliability programs focus on pipe replacement. One pipe replacement program addresses design pressure and could fall under the pending PHMSA rules. The regulator revamp program may also be discussed in the pending PHMSA rules. The second pipe replacement program deals with supporting pressures when customer load warrants replacement.

Q. DO YOU AGREE WITH COMPANY'S PROPOSED GAS SYSTEM RELIABILITY PROGRAMS?

A. In general, yes. However, costs can be reduced through the use of NPAs. Consistent with Commission guidance, NPAs need to be implemented, not just considered. The Company should identify NPAs that can be implemented immediately and proceed with such implementation. Sufficient Commission guidance exists from prior rate case decisions to understand cost recovery for NPAs. Any delay waiting for additional guidance on methods of payment is inconsistent with the climate stewardship the Company espouses.

With respect to electrification, as I discussed previously, the Company should identify ways to improve the scope and the success rate of these referrals, and then be required to implement a more robust and improved electrification

referral program than the referral program included in the current rate plan.

The Company has identified geographic boundaries that encompass the areas surrounding planned distribution system reinforcement projects that require targeted load reductions via electrification, energy efficiency, or other customer-sided measures. Successfully implementing a similar approach with respect to Gas Reliability Programs could reduce expenditures and help meet environmental goals.

NATURAL GAS DETECTORS

Q. WHAT IS INCLUDED IN THE NATURAL GAS DETECTORS CATEGORY OF CAPITAL PROJECTS?

A. The Natural Gas Detectors, or NGD, Program includes the installation of new NGD devices at locations that currently do not have an NGD, replacement of existing NGDs as needed, and expansion of the advanced metering infrastructure, or AMI, network coverage that enables NGD communication.

Q. WHAT CAPITAL FUNDING IS REQUIRED FOR THIS PROJECT DURING THE 2026-2028 PERIOD?

A. The capital funding required for the NGD Program is $34.2 million in Rate Year 1, $31.5 million in Rate Year 2, and $29.7 million in Rate Year 3.

Q. BASED ON YOUR ADJUSTMENTS, WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR THE NGD PROGRAMS?

A. I adjusted historic spending by adding inflation to recommend $27.1 million in Rate Year 1, $27.9 million in Rate Year 2, and $28.7 in Rate Year 3. These changes

amount to a decrease of $7.0 million or 20.5 percent in Rate Year 1, a decrease of $3.6 million or 11.4 percent in Rate Year 2, and a decrease of $0.9 million or 3.2 percent in Rate Year 3.

Q. DO YOU SUPPORT THE NGD PROGRAM?

A. Yes. This program is intended to maintain safe, reliable service to customers by ensuring that facilities on the gas system at the customer's location are operating safely, efficiently, and reliably. I have reviewed the Company's annual reports on performance of the NGDs, and the results have been good.

Q. PLEASE EXPLAIN WHAT YOU MEAN.

A. When the use of NGDs was first being considered, there were concerns about false positive readings and whether the devices would be effective. The annual reports show that the incidence of false positive readings is very low. The reports also show that the NGDs detect hundreds of gas leaks which are then repaired before they can cause significant problems. I have also been advised by the City that the City is supportive of the expanded use of NGDs because of their contribution to public safety, as well as their contribution to the reduction in methane emissions.

CUSTOMER CONNECTIONS

Q. WHAT IS INCLUDED IN THE CUSTOMER CONNECTIONS CATEGORY OF CAPITAL PROJECTS?

A. The Company testifies that it is required by the Public Service Law, the Commission's regulations, and the Company's gas tariff to extend service to new

customers in its service territory in proximity to the Company's facilities subject to distance restrictions (GIOP Pre-Filed Direct Testimony at 32). The Customer Connection program funds the installation or reinforcement of mains and services necessary to provide gas to existing and prospective customers. Meters to support these new customer connections are discussed separately below.

Q. IS THE COMPANY SEEKING NEW CUSTOMER CONNECTIONS?

A. On page 32 of its pre-filed direct testimony, the GIOP testifies that it is "actively working to discourage new customer connections and has submitted comments in Case 20-G-0131 supporting the elimination of [100-foot] entitlements above beyond what is required under Public Service Law."

Q. WHAT IS THE COMPANY'S TOTAL PROJECTED CAPITAL INVESTMENT IN FOR NEW CUSTOMER CONNECTIONS FOR THE THREE RATE YEARS?

A. The Company's projected capital investment in this area is $72.4 million in Rate Year 1, $63.0 million in Rate Year 2, and $58.0 million in Rate Year 3.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURE FOR CUSTOMER CONNECTIONS CAPITAL PROJECTS INCLUDED IN YOUR TOTAL CAPITAL ADJUSTMENT ABOVE?

A. I recommend that this category be removed totally. These changes amount to a decrease of $72.4 million in Rate Year 1, $63.0 million in Rate Year 2, and $58.0

million in Rate Year 3.

Q. WHY ARE YOU ELIMINATING THE ESTIMATED CUSTOMER CONNECTIONS BUDGET?

A. As discussed above, the GIOP's pre-filed direct testimony discusses that the Company is required by the Public Service Law, the Commission's regulations, and the Company's tariffs to extend service to new customers in its service territory in proximity to the its facilities, and to install new distribution main, up to a 100-foot tariff allowance per customer, to do so. However, the Company's budget is not acceptable in light of the CLCPA and other restrictions and prohibitions on certain gas connections in New York City under LL 97 and LL 154. To even approach the new emission requirements of the CLCPA, the prohibition on most new gas connections of LL 154, and the significant greenhouse gas reduction requirements of LL 97, growth in natural gas customers must be curbed as a start. Moreover, the Company acknowledges that it is aware of legislation and other policy discussions, including discussions in the Commission's Gas Planning Proceeding, Case 20-G-0131, that are considering the elimination of the 100-foot regulatory allowance and the Company's obligation to serve customers.

Q. IS ELIMINATION OF THE ENTIRE CUSTOMER CONNECTION BUDGET REASONABLE?

A. Yes. Customer growth from new constructions is expected to be virtually eliminated in the City by LL 154. The remaining customer growth is anticipated to

come from oil-to-gas conversions. However, in large buildings, investments in converting from oil to gas systems will not provide long-term compliance with LL 97. Thus, these investments are unlikely to be pursued by the owners of large buildings.

In addition, as included in Part RR of Chapter 56 of the Laws of 2023 and signed into law on May 3, 2023, New York became the first state to pass legislation banning the use of natural gas for heating and cooking in some new buildings. These provisions will require new buildings to be constructed with only electric hookups for appliances and utilities beginning in 2025. The law will go into effect for buildings with fewer than seven stories beginning in 2026. The requirements will begin for taller buildings by 2029. Hospitals, critical infrastructure, and commercial food establishments will be exempt from the requirements. Buildings where the local electric grid is not capable of handling the load will also be exempt from the new law. Existing buildings and appliances will not be affected by the legislation.

It is apparent that the Company cannot avoid adding customers as required by law and Commission policies. However, removing the budget for new connections here puts pressure on the Company to explore all options to minimize these additions and incentivizes it to place more emphasis on NPAs.

Q. IS THERE ANY PRECEDENT FOR YOUR RECOMMENDATION?

A. Yes. The rate plans adopted for NYSEG and RG&E in Cases 19-G-0379 and 19-

G-0381 did not include capital expenditures to add customers. Those utilities, in their Statement of Support of the joint proposal in those proceedings, identified that they modified their natural gas tariffs to provide only the required allowances for mains, service lines and appurtenant facilities, the 100-foot rule, consistent with Commission regulations at 16 NYCRR Part 230. They also agreed that gas projects involving the construction of a new pipeline or the replacement or expansion of an existing pipeline may be potentially suitable for an NPA except where conditions pose an immediate threat to public safety or where construction is within 12 months. Of particular note, no funding was included for building the previously proposed Lansing Pipeline or the DeRuyter Pipeline. Those pipelines were planned for system expansion, and NYSEG instead developed NPA solutions to improve service to existing customers. Quarterly Reports from those cases indicate that by July 2023, NYSEG reduced customer growth from 0.5 percent to 0.25 percent and RGE from 0.6 percent to 0.24 percent. This dedication to reducing gas customer growth while also reducing overall gas usage is an example that most combination utilities, like Con Edison, should study and utilize.

Q. ARE THERE OTHER ALTERNATIVES FOR THE COMPANY INSTEAD OF ADDING CUSTOMERS?

A. Yes. Area Load Relief NPAs can be used to defer growth-related investment by decreasing demand or increasing the availability of gas in an area. In its January 2025 NPA Implementation Plan, the Company asserts that there are currently no

Area Load Relief NPA opportunities to avoid demand-growth based infrastructure in a three-to-five-year horizon. Despite the Company's claims, I recommend that the Company be directed to investigate the use of NPAs over long-term horizons and present proposals through this proceeding or the Gas Planning Proceeding.

Q. HAS THE COMMISSION PROVIDED GUIDANCE?

A. Yes. As I stated previously, in the Gas Planning Order, the Commission encouraged LDCs to use NPAs to reduce or eliminate the need for gas infrastructure and investments.

Q. WHAT DO YOU RECOMMEND THE COMPANY DOES MOVING FORWARD?

A. The Company must stop adding new customers unless specifically required by law or Commission regulations. Growth is primarily driven by a greater number of customers, as opposed to increased use per customer. Accordingly, I recommend that all spending on Customer Connections be eliminated. To the extent that the Companies are required by law to connect new customers during Rate Year 1, the Commission could consider authorizing deferral accounting and consideration of the ability to recover the costs in a future rate case.

TECHNICAL OPERATIONS

Q. WHAT IS INCLUDED IN THE TECHNICAL OPERATIONS CATEGORY OF CAPITAL PROJECTS?

A. The Technical Operations category includes work on Liquified Natural Gas

Facilities, Tunnels and Meter purchases/installations.

Q. WHAT IS THE COMPANY'S TOTAL PROJECTED CAPITAL INVESTMENT IN TECHNICAL OPERATIONS FOR THE THREE RATE YEARS?

A. The Company's projected capital investment in this area is $86.9 million in Rate Year 1, $63.3 million in Rate Year 2, and $60.3 million in Rate Year 3.

Q. WHAT ADJUSTMENTS DID YOU MAKE TO THE LEVEL OF CAPITAL EXPENDITURES FOR TECHNICAL OPERATIONS?

A. For technical operations, I began with historic spending levels plus inflation. But I did accept project funds below historic levels for the Liquified Natural Gas, or LNG, Facilities proposals in Rate Year 2 and Rate Year 3. I then reduced the meter purchases and installations for new connections based on new customer connection adjustments discussed previously. As such, I recommend $41.8 million in Rate Year 1, $32.4 million in Rate Year 2, and $32.0 million in Rate Year 3. These changes amount to a decrease of $67.2 million or 61.69 percent in Rate Year 1, a decrease of $52.7 million or 62.0 percent in Rate Year 2, and a decrease of $49.7 million or 60.8 percent in Rate Year 3.

Q. DO YOU SUPPORT THE LNG UPGRADE PROJECTS?

A. The City recognizes and supports improvements to the Company's LNG facilities. As presented in Exhibit__(GIOP-1) pages 2 and 3, the Nitrogen Refrigeration Cycle Replacement and the Plant Controls Instrumentation Upgrade Projects in Rate Year

1, the Tank Pressure and Vacuum Relief Valves as well as the Ground Combustor Replacement Projects in Rate Year 2, the Control Center Refurbishment Compressor Station Project and the Fire Detection Upgrade in both Rate Years 2 and 3, and the Resiliency Improvement Program in all three rate years should be supported. Proposed expenditures above historical LNG project amounts in Rate Year 1 should be restricted to historic spending plus inflation. But the proposals for Rate Year 2 and Rate Year 3 are below historic spending and are accepted as proposed.

Q. DO YOU SUPPORT THE COMPANY'S PROPOSED TUNNEL UPGRADE PROJECTS?

A. The City recognizes and supports improvements to the Company's Tunnels and related facilities. As presented in Exhibit __(GIOP-1) page 3, the Carbon Fiber Wrap Program and Concrete Restoration Program in all three rate years as well as the Astoria Elevator Modernization in Rate Years 2 and 3 should be supported but not at levels above historic spending plus inflation. Expenditures for work related to tunnel projects should be restricted to historic spending plus inflation. This approach was applied to all three rate years.

Q. WHAT IS INCLUDED IN THE METERS CATEGORY OF CAPITAL PROJECTS?

A. This capital program is for the purchase of gas meters, related devices for mandated programs and AMI devices. Related devices include pressure regulators and

instrumentation such as volume correctors, electronic indexes, meter testing equipment. These mandated programs include program replacements and meter purchases for customer connections. This is mandatory work in accordance with 16 NYCRR Part 226.

The GIOP pre-filed direct testimony at page 44 explains that, currently, 45 percent of the meters purchased and installed are related to mandated meter replacement programs and required replacements, while 55 percent of the meters purchased and installed are associated with customer connections or replacements of existing customer meters for customers who are increasing their existing gas demand. The Company's response to Staff Information Request 824 has two attachments that break down the historical and proposed meter work for new meter connections and for meter replacement project work.

Q. DO YOU PROPOSE TO ELIMINATE THE METER CATEGORY CAPITAL COSTS AS YOU HAVE DONE WITH RESPECT TO NEW CUSTOMER CONNECTIONS?

A. Yes. The Meter Category does not pertain to new connections alone. It also covers the AMI meter project and any other mandatory meter replacement programs, such as moving meters outside buildings. Expenditures should be limited to AMI and meter replacement work but not new customer connections.

Q. WHAT IS THE COMPANY'S TOTAL PROJECTED CAPITAL INVESTMENT IN THE METER CATEGORY FOR THE THREE RATE

YEARS?

A. The Company's projected capital investment in this area is $34.9 million in Rate Year 1, $34.9 million in Rate Year 2, and $34.9 million in Rate Year 3.

Q. WHAT ADJUSTMENTS DO YOU RECOMMEND TO THE LEVEL OF CAPITAL EXPENDITURES FOR METERS?

A. I exclude meters for new connections and adjust meter replacement historic spending by adding inflation for $12.8 million in Rate Year 1, $13.2 million in Rate Year 2, and $13.6 million in Rate Year 3. This is a decrease of $22.1 million or 63.3 percent in Rate Year 1, $21.8 million or 62.2 percent in Rate Year 2, and $21.4 million or 61.3 percent in Rate Year 3.

GAS INFORMATION TECHNOLOGY

Q. WHAT IS INCLUDED IN THE GAS INFORMATION TECHNOLOGY CATEGORY OF CAPITAL PROJECTS?

A. Gas Information Technology, or IT, investments are discussed in two categories: (1) Gas Control Center Improvements and (2) Gas Emergency Response Center, or GERC, Improvements. Gas Control Center Improvement Projects include Gas Control Center End of Life, or EOL, Equipment Upgrade and Primary Gas Control Center Furnishing. GERC Improvements include GERC EOL Equipment Replacement, Primary GERC Relocation Furnishing and Alternate GERC Relocation.

Q. ARE THERE ANY CONCERNS WITH THE COMPANY'S GERC RELOCATION PROPOSAL?

A. Yes. While I understand the concerns raised by the Company regarding the location of the GERC within New York City, the majority of the Company's gas business is in New York City, and its control center should be centrally located within its service territory. Moreover, the Company has not demonstrated that it cannot technically modify and harden the existing GERC, or that it would be economically infeasible to do so.

There is a separate concern with the contemplated remote location of the new proposed control center. Many people in New York City, including Con Edison employees, rely on the extensive public transportation system in and around New York City and do not own vehicles. The Company has not demonstrated how these employees would be able to travel to the Westchester control center during emergency conditions if public transit is shut down. Even for employees who have vehicles, during a severe weather event or other emergency situation, many roads and bridges may be closed. The Company has not demonstrated how these employees would be able to travel to the proposed control center, either.

Q. WHAT DO YOU RECOMMEND?

A. All costs related to the proposed new control center should be removed, and the Commission should direct Con Edison to conduct a comprehensive study of the renovating and hardening its existing GERC, and of the costs and considerations,

including but not limited to access during emergencies, of a new GERC located within New York City as compared to Westchester County.

PROPOSED GAS SAFETY METRICS AND PERFORMANCE MEASURES

Q. IS THE COMPANY PROPOSING ANY MODIFICATIONS TO ITS GAS SAFETY METRICS?

A. Yes. The Company is proposing changes to the PRAs associated with the Leak Backlog and Emergency Response performance measures and several modifications to the Gas Regulations Performance Measures. The Company proposes no changes to the remaining Gas Safety Performance Measures.

Q. WHAT ARE THE CURRENT LEAK BACKLOG AND EMERGENCY RESPONSE PRAS?

A. The Company's current PRAs are described in Exhibit __(NYCJS-4). At the end of each calendar year the PRAs are set at 11-25 leaks – two basis points, 3-10 leaks – four basis points, and two or less leaks – six basis points.

Q. WHAT MODIFICATIONS DOES THE COMPANY PROPOSE TO THE EXISTING LEAK BACKLOG AND EMERGENCY RESPONSE PRAS?

A. The Company's proposals to modify the existing PRAs are shown in Table 1 of Exhibit __(GIOP-4). The proposal as shown increases each of the three leak backlog PRAs by an additional two basis points. These are increases of 100 percent, 50 percent and 33 percent, respectively.

Q. WHY DOES THE COMPANY BELIEVE THIS CHANGE IS JUSTIFIED?

A. The GIOP pre-filed direct testimony states that in order to achieve such total leak backlog and fast response time targets, the Company must expend significant resources (GIOP Pre-Filed Direct Testimony at 54). The Company claims that the cost of deploying such resources currently exceeds the value of the PRA for leak backlog and emergency response. Therefore, the Company is proposing a PRA level for leak backlog and emergency response that is consistent with the costs associated with achieving such goals.

Q. DO YOU AGREE WITH THE PROPOSED INCREASE IN PRA'S FOR LEAK BACKLOG TARGETS AND EMERGENCY RESPONSE TARGETS?

A. No. The PRA amounts, although set to be performance incentives to meet targets, are not intended to be rewards to a utility for the cost of work required to meet the targets. While the City supports improvements to the Company's leak backlog reductions and fast response times, reducing the number of active leaks in both systems is a critical part of maintaining safe and reliable service. Costs associated with reducing the leak backlog of the Company and ensuring fast response times are recovered from customers. As such, shareholders bear no additional risk for such work. When shareholders bear no risk for work and when that work is in furtherance of a basic utility regulatory compliance obligation, a shareholder incentive is not inappropriate. However, the Company's proposal effectively seeks duplicative funding for expenses already included in rates. If additional expenses are required, they should be sought elsewhere in the revenue requirements, not as a

shareholder incentive.

Q. DO YOU BELIEVE ANY ADJUSTMENTS SHOULD BE MADE TO THE INCENTIVES FOR THESE METRICS?

A. Yes. Con Edison should be striving to entirely eliminate its leak backlog and repair all leaks as they are found. A review of the Company's annual gas safety performance reports shows that it has improved its performance over time, and that improvement has been driven, at least in part, by tightening the leak backlog target over time. That trend should continue, and the Commission should further tighten the NRA associated with the year-end total leak backlog metric, which encompasses leak types 1, 2, 2A, 2M and 3.

Q. HOW SHOULD THE YEAR-END TOTAL LEAK BACKLOG METRIC BE TIGHTENED?

A. The targets should be 150 leaks or greater – 15 basis points, 145 to 154 leaks – ten basis points, 135-144 leaks – five basis points, and less than 134 leaks – no adjustment. These revised targets continue the trend established by the Commission in the Company's last rate plan. In the event the Commission sets a multi-year leak backlog performance metric, the targets should be adjusted by similar amounts each Rate Year – by 15 leaks for the first target, and ten leaks for each additional target range.

Q. SHOULD THERE BE ANY ADJUSTMENT TO THE EMERGENCY RESPONSE TIME METRIC?

A. No. According to the Company's annual reports, it is responding to more than 98 percent of gas leak and odor calls within three minutes, and to 99.9 percent of such calls within 60 minutes. I am advised that the City is satisfied with these response rates, and there is no need to change the metrics. Certainly, there is no need to reward Con Edison's shareholders for simply maintaining its prior level of performance.

Q. WHAT ARE THE COMPANY'S PROPOSALS FOR GAS REGULATION PERFORMANCE METRICS?

A. The Company proposes several modifications to these metrics, and I will comment on two of the proposals: (1) eliminate the NRA for work procedure violations that exceed state code requirements; and (2) eliminate the NRA for violations that were self-reported and not subject to reporting requirements.

Q. PLEASE DESCRIBE THE COMPANY'S FIRST PROPOSED MODIFICATION TO THE GAS SAFETY REGULATIONS PERFORMANCE METRICS?

A. The first proposed modification is the elimination of an NRA for a work procedure violation in 16 NYCRR Section 255.603 in situations where the Company's procedures "go above and beyond" the requirements contained within the regulations (GIOP Pre-Filed Direct Testimony at 55). The Company argues that neither is it appropriate nor does it serve a useful purpose to penalize the Company for having more stringent internal work procedures. Therefore, the Company is

proposing that violations of the Company's procedures, which are not required by code and exceed the requirements of the Commission's regulations, not be counted for the NRA.

Q. WHAT EVIDENCE DOES THE COMPANY PROVIDE TO SUPPORT THE ELIMINATION OF NRAS FOR WORK PROCEDURE VIOLATIONS EXCEEDING CODE REQUIREMENTS?

A. The Company states that KEDNY's most recent rate plan, in Case No. 23-G-0225, excludes work procedure violations that exceed the prescriptive requirements in Sections 255 or 261 from NRA consideration and such treatment should be extended to the Company.

Q. DO YOU AGREE WITH THE PROPOSED CHANGES TO NRAS RELATED TO WORK PROCEDURE VIOLATIONS?

A. No. It is laudable that the Company establishes its procedures above that which are required. To then assert that it does not need to live up to those standards is a contradiction. Reference to the KEDNY rate plan is not relevant here given that the Company has adopted more rigorous procedures and should adhere to its own procedures.

Q. PLEASE DESCRIBE THE COMPANY'S SECOND PROPOSED MODIFICATION TO THE GAS SAFETY REGULATIONS PERFORMANCE METRICS.

A. The Company is proposing the elimination of an NRA for violations resulting from

self-reported events not subject to reporting requirements, as long as the Company takes immediate corrective action to resolve said issue (GIOP Pre-Filed Direct Testimony at 56). To promote transparency and cooperation, the Company asserts that it has self-reported issues or incidents to Staff which do not meet current regulatory reporting requirements. The Company argues that these self-reported events should not be subject to an NRA.

Q. DO YOU AGREE WITH THE PROPOSED CHANGES TO THIS METRIC?

A. No. If the Company is in violation, self-reporting is irrelevant from a performance measure basis.

DEPRECIATION

Q. DOES THE COMPANY PROPOSE ANY CHANGES TO ITS GAS ASSETS DEPRECIATION RATES?

A. Yes. As set forth in its pre-filed direct testimony, the Company's Depreciation Panel has computed, based on the depreciation rates supplied by the Company, that depreciation expense will increase in Rate Year 1 by $93.2 million for gas plant, from $488 million to $582 million (Depreciation Panel Pre-Filed Direct Testimony at 13). This is accomplished by adopting a five-year shorter service life approach.

Q. DO THE COMPANY'S PROPOSED DEPRECIATION RATES ACCOUNT FOR THE CLCPA?

A. Yes. As it has discussed in prior rate cases and in the Commission's Gas Planning Proceeding, the Company insists that the CLCPA requires higher depreciation for

gas assets (Depreciation Panel Pre-Filed Direct Testimony at 13). Based on this claim, the Company proposes a decrease in the service lives for several of the longer-lived gas accounts by five years, when compared to the results of service life analysis that does not consider the CLCPA's impact. The Company provides different scenarios for changing gas depreciation in Exhibit __(DP-4).

Q. ARE ANY OF THE SCENARIOS SHOWN IN THE TABLE INCLUDED IN EXHIBIT __(DP-4) ACCELERATED DEPRECIATION?

A. The Company asserts that the scenarios are not accelerated depreciation. However, despite the Company's assertion, under the Company's proposal, depreciation is occurring faster than previously experienced. Accelerated depreciation may describe methods of depreciation in which depreciation is higher in the earlier years and lower in the later years of an asset's life, when compared to the straight-line method. But shortening the asset's life and then continuing to apply the straight-line method accomplishes a similar, yet evenly distributed, accelerated depreciation faster than would have occurred.

Q. DO YOU AGREE WITH THIS CHANGE?

A. No.

Q. WHY NOT?

A. Guidance from the Commission is needed before advancing any form of accelerated depreciation. The Company's claims that its proposal is not accelerated is just a misguided attempt to recover shareholders' investment and increase rates. In lieu

of generic Commission guidance, an order in the Company's Gas System Long-Term Plan would be needed before proceeding.

Q. WHAT IS YOUR RECOMMENDATION?

A. The average services lives, net salvage factors and life tables used in calculating the depreciation reserve and establishing the revenue requirements for gas service should remain the same as was set forth in Appendix 14 of the rate plan in Case 22-G-0065 as approved by the Commission on July 20, 2023.

Q. WHAT HAS THE COMPANY FILED WITH THE COMMISSION REGARDING CHANGES TO SERVICE LIVES?

A. In November 2022 in the Gas Planning Proceeding, both Con Edison and Orange and Rockland filed depreciation studies further assessing the long-term impacts of different depreciation scenarios. The Company and Orange and Rockland have also prepared a Gas System Long-Term Plan, including an initial plan filed with the Commission in Case 23-G-0147 on May 31, 2023 and a final plan on November 29, 2023 in the same case.

Q. TO DATE, HAS THE COMMISSION ISSUED A DECISION REFLECTING THE RESULTS OF THESE STUDIES?

A. No, it has not. Nor has it issued any guidance in a generic proceeding, either.

Q. DO YOU HAVE ANY OTHER OBSERVATIONS ON THE COMPANY'S PROPOSAL?

A. Yes. The Company's proposal to shorten service lives is premised on an

assumption that the gas system will be significantly downsized, and such downsizing will occur before the gas mains reach the end of their currently expected service lives. This assumption is conjectural, and they offered no proof that a large portion of the gas system will be retired prematurely.

Q. ARE YOU SUGGESTING THAT THERE WILL NOT BE CHANGES TO THE GAS SYSTEM?

A. No. I agree that there will be changes. However, I don't agree that it is clear that the existing assets will be retired by 2040 or 2050.

Q. PLEASE EXPLAIN YOUR POSITION.

A. At present, there is no certainty as to what future sources of heating and cooling may be, and what resources could replace fossil fuels. Some of the alternatives being discussed in the industry and in regulatory settings may be able to re-use the existing assets. If these concepts become real, the assets would not be retired prematurely and may last as long as originally anticipated.

Q. CAN YOU PROVIDE SOME EXAMPLES OF ALTERNATIVES THAT COULD RE-USE EXISTING GAS ASSETS?

A. Yes. One alternative, which has been urged by the City in other matters, is the use of renewable natural gas, or biogas, collected from its wastewater treatment facilities and other similar sources. As long as there are people living in and around New York City, various types of wastes will be produced and will need to be processed. One of the byproducts of such processing is methane. The methane can

be directly released into the atmosphere, which is the least desirable option, or flared or productively used. If the decision is made to use it in place of fossil fuels, it could be transported throughout New York City via Con Edison's existing gas mains.

Another alternative, which is being evaluated by the Commission and the utilities, is district thermal systems. These systems could convey thermal energy via steam, hot water, or other fluids. If these systems prove to be technically and economically viable, there may be opportunities to repurpose existing gas mains to transport the thermal fluids to customers within each thermal system.

A third alternative, which I acknowledge is more theoretical at this time, is comprised of new forms of energy storage. There have been some discussions about storing large quantities of compressed air or other gases and releasing them when needed to produce power. If that technology is determined to be viable, there may be a role for Con Edison's gas system, particularly the portions that are designed to accommodate high pressures, to transport the compressed gases to users.

My point is that there any many unknowns regarding the future of Con Edison's gas assets, and it is equally conceivable that they will be repurposed or shut down. Given these uncertainties and the lack of Commission guidance, it is not appropriate to arbitrarily and based on conjectural assumptions reduce the service lives on long-lived accounts by five years.

Q. DO YOU HAVE ANY OTHER CONCERNS WITH CON EDISON'S DEPRECIATION PROPOSALS?

A. Yes. I disagree with the proposal regarding treatment of the depreciation reserve deficiency.

Q. WHAT IS THE COMPANY'S PROPOSAL?

A. Depreciation Panel Exhibit __(DP-3), page 3 of 4, shows a theoretical deficiency of $611,502,440 or 19.97 percent. The Company's proposal increases the deficiency to $840,025,568 or 25.53 percent.

Q. HOW IS A DEPRECIATION RESERVE DEFICIENCY DETERMINED?

A. The reserve variation is calculated by subtracting the theoretical reserve from the book reserve amount. A negative variation indicates that there is a book reserve deficiency for this account and that the depreciation rate likely needs to be higher than in the past. A positive variation would indicate that there is a book reserve surplus and that the depreciation rate likely needs to be lower than in the past.

A large reserve deficiency increases customer rates. This is due to the need to recover these costs through additional depreciation and because the reserve deficiency results in a higher rate base and corresponding return on rate base. In this way the deferral of depreciation expense does impact the current customers.

Q. WHAT IS YOUR RECOMMENDATION FOR RECOVERY OF THE DEPRECIATION RESERVE DEFICIENCY?

A. In addition to the depreciation expense produced by the application of the rates

summarized in Appendix 14, an additional amount of depreciation expense may be realized, beginning in Rate Year 1, in connection with the recovery of a portion of the gas depreciation reserve deficiency. The recovery should equal an annual amount that reflects the reserve deficiency for gas identified in excess of a ten percent tolerance band amortized over twenty years. This means that where the accumulated imbalance makes up ten percent of the theoretical reserve, some portion of the deficiency or surplus is typically amortized. This calculation should be completed when the final theoretical and book reserves are identified.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes, it does.